Choose the largest difference. Here the difference is 5 which corresponds to column D_1 and D_2. Choose either D_1 or D_2 arbitrarily. Here we take the column D_1 . In this column choose the least cost. Here the least cost corresponds to (S_1, D_1) . Allocate min (250, 200) = 200units to this Cell.

The reduced transportation table is

	D_2	D_3	D_4	a_i	Penalty
S_1	(50) 13	17	14	50/0	1
S_2	18	14	10	300	4
S_3	24	13	10	400	3
b_j	225/175	275	250		
Penalty	(5)	1	4		

Choose the largest difference. Here the difference is 5 whichcorresponds to column D_2. In this column choose the least cost. Here the least cost corresponds to (S_1, D_2). Allocate $\min(50,175) = 50$ units to this Cell.

The reduced transportation table is

	D_2	D_3	D_4	a_i	Penalty
S_2	(175) 18	14	10	300/125	4
S_3	24	13	10	400	3
b_j	175/0	275	250		
Penalty	(6)	1	—		

Choose the largest difference. Here the difference is 6 which corresponds to column D_2. In this column choose the least cost. Here the least cost corresponds to (S_2, D_2) . Allocate $\min(300,175) = 175$ units to this cell.

The reduced transportation table is

	D_3	D_4	a_i	Penalty
S_2	14	(125) 10	125/0	(4)
S_3	13	10	400	3
b_j	275	250/125		
Penalty	1	—		

Choose the largest difference. Here the difference is 4 corresponds to row S_2. In this row choose the least cost. Here the least cost corresponds to (S_2, D_4). Allocate $\min(125,250) = 125$ units to this Cell.

The reduced transportation table is

	D_3	D_4	a_i	Penalty
S_3	13	10	400	(3)
b_j	275	125		
Penalty	—	—		

The Allocation is

	D_3	D_4	a_i
S_3	(275) 13	(125) 10	400/275/0
b_j	275/0	125/0	

Thus we have the following allocations:

	D_1	D_2	D_3	D_4	a_i
S_1	(200) 11	(50) 13	17	14	250
S_2	16	(175) 18	14	(125) 10	300
S_3	21	24	(275) 13	(125) 10	400
b_j	200	225	275	250	

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